

channels or e-commerce—has expanded. The key factor is to make sure that the customer is interacting with the brand and you are able to service the customers' needs in a much faster and convenient way. So, technology, availability and omni-presence are going to be the driving forces.

Local manufacturing [too] has gained significant importance. Ten years ago, the industry players would have been happy to visit China, source products in bulk and [sell them under] their brand... Now, [domestic] manufacturing plays a bigger role... The government's constant push for 'Make in India' and 'Aatmanirbhar Bharat' has led to this change. We are seeing more investments going into manufacturing, at least in our industry. And [then there] is innovation. Overall, these are the pillars that are set to drive growth for the next 5-10 years.

Q: How has the business environment changed over the past 5-10 years? Has it become more competitive?

A: It's changing at a much faster pace and companies which are able to transform and are nimble are going to be successful. For example, the way to reach the consumer: five years ago, traditional media like television and print were mainstream. It was very obvious; you could have applied the things that you learnt at B-school. But now things are changing on a daily basis. Almost 35-40 per cent of the media spends are now on digital. Since things are changing rapidly, the business is becoming more tough and complicated. Long term plans, long-term visions... those are becoming passé. Now you are constantly on the move.

Q: What is the long-term impact of the pandemic, apart from accelerating digitisation?

A: Apart from digitisation, the pandemic has changed the consumer in many ways. The consumer is looking for more convenience and localisation. The consumer was always the king, but post-pandemic, their stature has grown further. Now companies need to be directly connected with the consumer. Just look at the television industry. When DTH (direct-to-home) service came, it weeded out the conventional TV ecosystem. Now they are also under stress. OTT ser-

ON INFLATION

This kind of inflation leads to a slowdown in demand as consumers tend to postpone purchases. But the market is still growing. It indicates that there is a strong recovery—both in the real estate sector and also in the capex cycle.

ON INVESTMENT PLANS

Every year, we invest ₹400-500 crore on an average to enhance manufacturing. Additionally, we are investing in R&D. All products we manufacture are developed in-house.

ON FACTORS THAT COULD DRIVE THE INDUSTRY

Technology, availability and omni-presence... [then] local manufacturing and innovation.

ON THE CABLES BUSINESS

If 20 years ago the market was 90 per cent unorganised, it has come down to 40-50 per cent. Consumers want to buy from trusted brands so that they don't have to bother about the quality of the product.

vices are now becoming mainstream, where people can choose what content they want to consume and when. So, consumer behaviour has changed as they are now demanding much more. And I think that is going to drive transformation in the coming days for our industry, the products that you offer and the mode of reaching out. The pandemic has accelerated this process.

Q: What are your investment plans? Will you avail the PLI scheme?

A: Havells has always invested heavily to build manufacturing capability. Today, 95 per cent of what we sell is made locally. When we acquired Lloyd [in 2017], we set up one of the most integrated air conditioner (AC) facilities here... Every year, we invest ₹400-500 crore on an average to enhance manufacturing, which is by far of global standards. Additionally, we are investing in R&D. All the products we manufacture... are developed in-house.

We have applied under the PLI scheme to manufacture AC components. We've invested some ₹400 crore in setting up a facility for ACs. Now we are pushing for further backward integration towards components.

Q: Soon after you took over, Havells sold off its international business. Why was that?

A: When we acquired the Sylvania lighting business, it was a good way of getting into the global markets. But by 2014 we realised that the developed markets in Europe and the Americas, especially after the global financial crisis, were sluggish, while India presented a good growth opportunity. So we decided to divest the business and move out of the developed markets—for two reasons: One, those were very slow-growing markets and two, the entire lighting industry was going through a massive transition—from traditional to LED technology. And we had a very high-cost manufacturing setup there. We had already put in a lot of time and effort but hadn't seen enough growth.

Thus, it was pragmatic to focus on the then growing market, that is India, and look at other adjacencies—where we could reach the consumers who were closer—much faster and in a much better way. That was the change in strategy.